

1. you understand that the further away your goal, the more risk you can take;
2. for your near-term goals within three years, you invest in ultra-short-term or conservative hybrid mutual funds;
3. for your medium-term goals that are about three to seven years in the future, you invest in aggressive hybrid and diversified equity mutual funds;
4. for your long-term goals that are seven or more years away, you invest in a mix of diversified equity, multi-cap, mid-cap and small-cap funds.